duties on alcohol. An exercise similar to petroleum product taxes can be done in the case of alcohol, which should be brought under GST.

Third, electricity can be simply brought under the GST system without much of a problem placing it in an appropriate slab.

GST Rates Reform

It is the value added by a business that pays wages to the workers, profits to the businessmen and taxes to the governments. The share of value added in the turnover of goods and services sold differs from goods to goods and services to services. Many are high turnover, low value added goods/services, while others are low turnover, high value added goods/services. There are some high turnover high value added goods and services as well. The value added margins and quantum of value added created differs for the businessmen massively.

From the consumers' perspective, there are certain goods and services that individuals/households have to consume to live a normal life. These are generally considered essential goods/services. The household incomes have to be used first to get these essentials. There are many goods and services that individuals/households would consume if they had incomes over and above for meeting their essential needs. These goods and services might increase their comfort/enjoyment of life or might be of the nature of luxuries. A great proportion of households are income constrained and therefore, if there is a higher incidence of GST on essential goods and services, they might not be able to maintain their normal standard of life.

The rates of GST applied on individual or class of goods and services need to be conscious of this economic and consumption reality.

Most economists tend to favour a single uniform rate of GST on account of its efficiency in tax management treating all the goods and services of the same utility nature. This, however, is not the right approach. The basic structure of indirect taxation or GST rates should be to tax low value added